LONDON OFFICE MARKET · 10 OCT 2026

IC section: vacancy fell to 8.0% while investment stays below trend

Occupiers firm, capital markets quiet

London office market · IC market section

VACANCY RATE · Q2 2026

8.0% [1]

−0.50pp vs Q1 2026

TAKE-UP · Q2 2026

3.10m sq ft [1]

+0.60 vs Q1 2026 · +11% vs LTA

INVESTMENT VOLUME · Q2 2026

£2.00bn [1]

+0.10 vs Q1 2026 · -36% vs LTA

BANK RATE

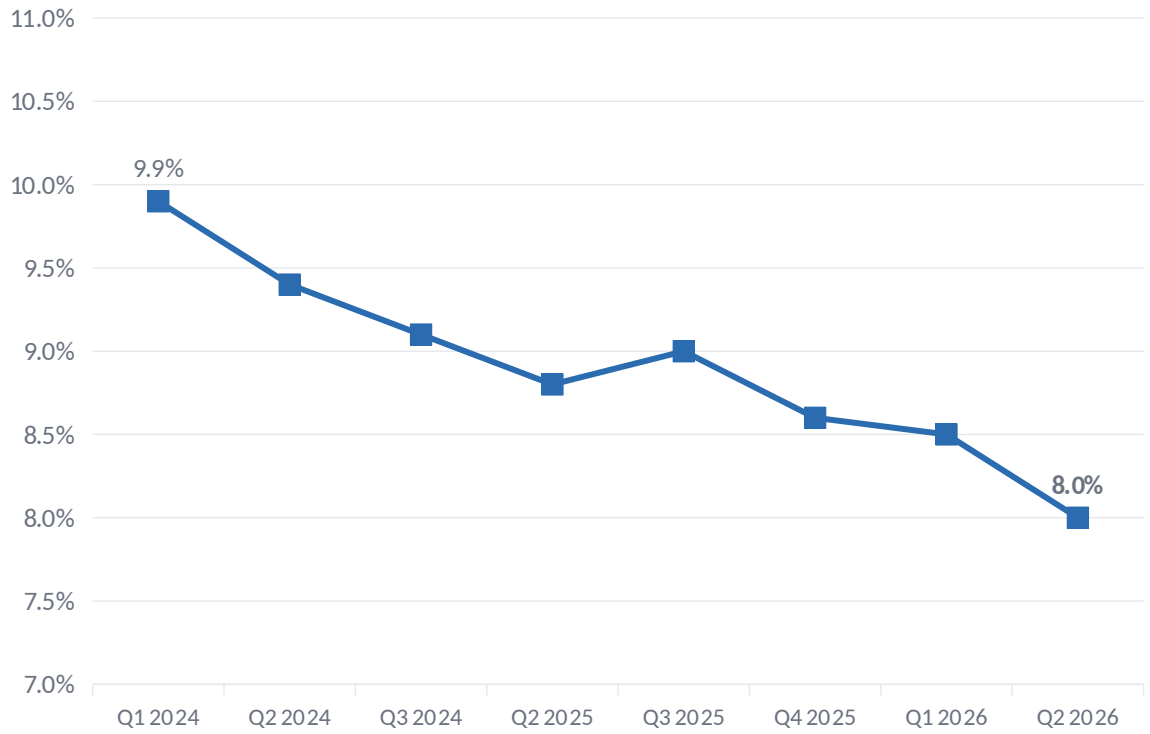
3.75% [2]

as of 2026-10-08

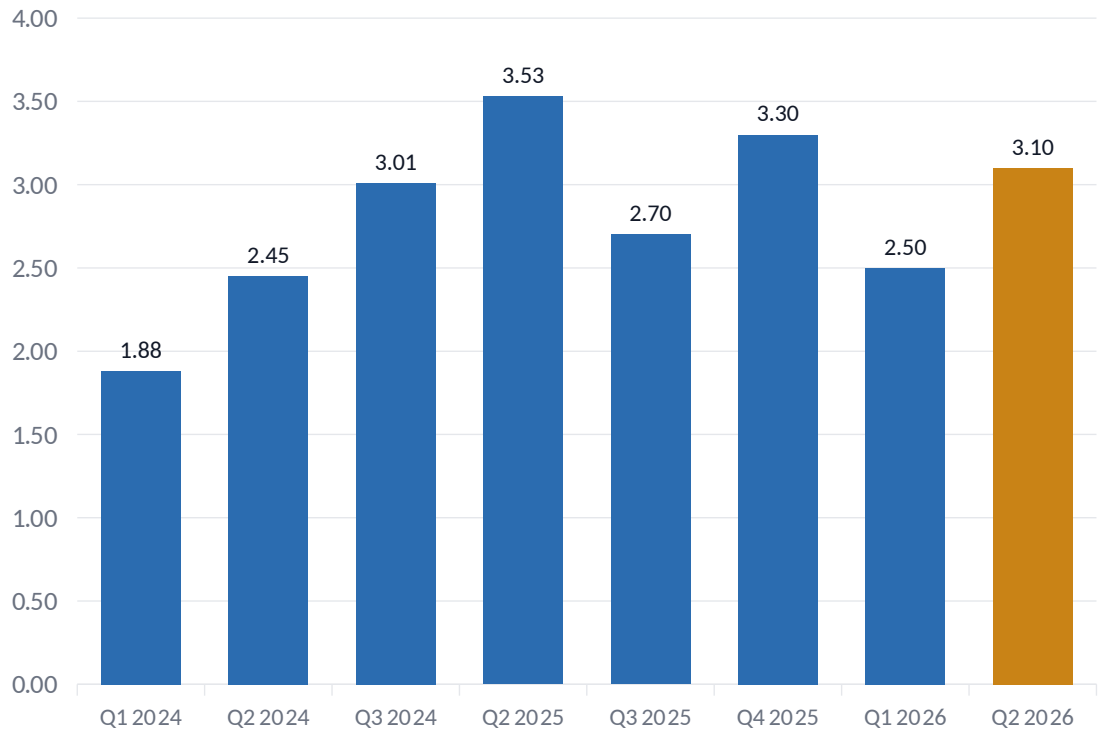
Figures restated from public research for this proof of concept (Knight Frank terms bar AI use of their data); verify against the original before external use.

Vacancy fell to 8.0%, the lowest since Q1 2024

CENTRAL LONDON VACANCY RATE



TAKE-UP, M SQ FT · LONG-TERM AVERAGE 2.80



SO WHAT *Occupiers are absorbing space faster than it is released: vacancy fell 0.50pp on the quarter and take-up ran 11% above its long-term average, easing leasing risk for core assets.*

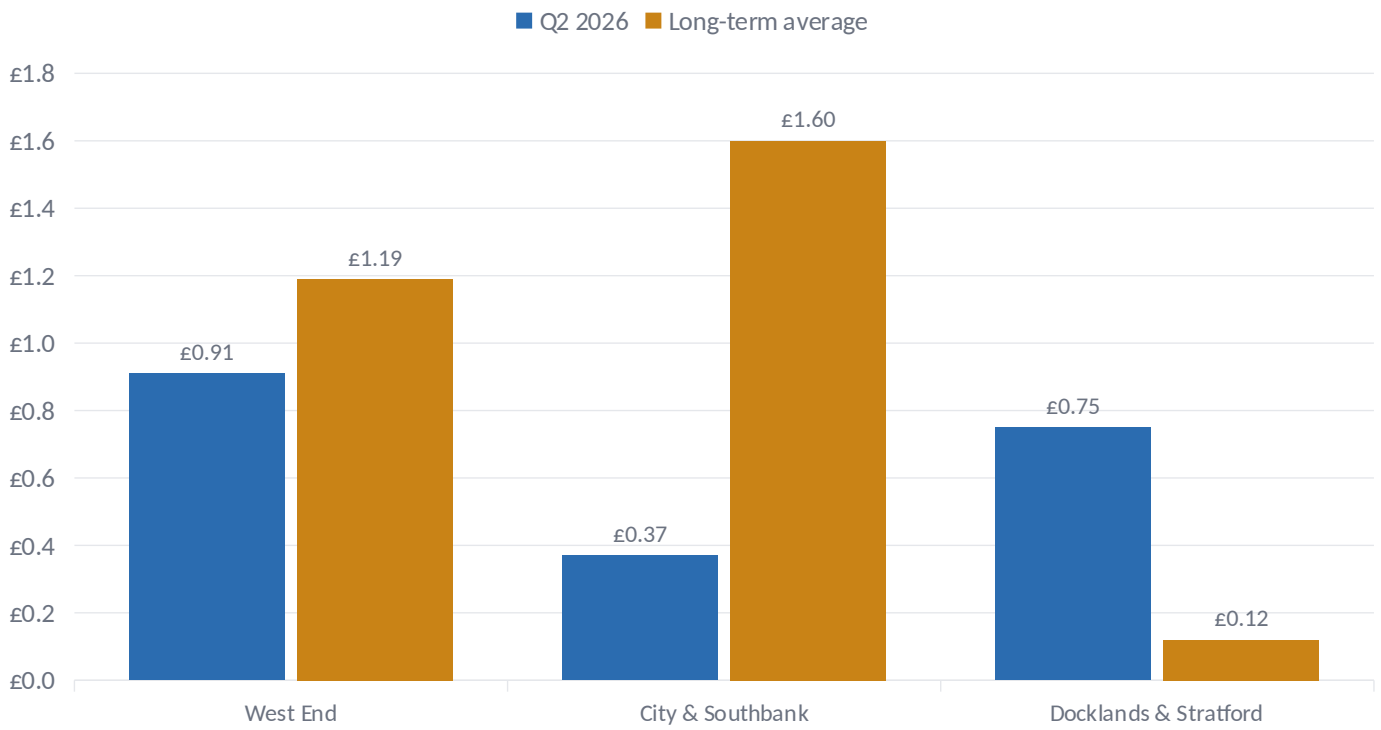
Source [1]. Quarters with no figures in the library are not shown.

Submarket evidence: West End vacancy at 7.0%, Docklands at 10.7%

SO WHAT *Vacancy is not uniform: Docklands & Stratford at 10.7% and City & Southbank at 8.1% carry more leasing risk than the West End at 7.0%.*

Investment £2.00bn in Q2 2026, 36% below the long-term average

INVESTMENT, £BN, Q2 2026 VS LONG-TERM AVERAGE



PRIME YIELDS VS LONG-TERM AVERAGE

PRIME YIELD	LATEST	CHANGE
West End	3.8% [1]	±0.00pp vs Q1 2026
City & Southbank	5.2% [1]	±0.00pp vs Q1 2026
Docklands & Stratford	7.5% [1]	±0.00pp vs Q1 2026
Bank Rate	3.75% [2]	as of 2026-10-08

SO WHAT *With City & Southbank investment 77% below its long-term average and prime yields flat on the quarter but above trend, fresh pricing evidence is thin — a constraint on valuations and exit assumptions.*

London total £2.00bn [1]. Yields are the publisher's prime yields.

The case for and against: demand builds, thin pricing evidence

▲ SUPPORTS THE CASE

Barclays buys 1 Churchill Place, Canary Wharf, for £750m

Barclays has acquired its Canary Wharf headquarters at 1 Churchill Place for £750m, reflecting a 5.62% yield. The deal lifted Docklands & Stratford investment turnover to… [10]

Sets fresh pricing (yield) evidence for valuations and acquisitions.

▲ SUPPORTS THE CASE

J.P. Morgan Asset Management Agree to Major City Pre-Let - CBRE

J.P. Morgan Asset Management Agree to Major City Pre-Let CBRE [11]

Large lettings set rental evidence and show which occupiers are taking space.

▲ SUPPORTS THE CASE

Citi reopens Canary Wharf HQ after hefty $1.5bn refit - The Banker

Citi reopens Canary Wharf HQ after hefty $1.5bn refit The Banker [12]

Large lettings set rental evidence and show which occupiers are taking space.

▲ SUPPORTS THE CASE

Central London vacancy falls to 8.0% as active requirements reach 14.3m sq ft

London office vacancy fell to 8.0% in Q2 2026 while active requirements rose to 14.3m sq ft. Take-up rebounded to 3.1m sq ft after a subdued first quarter. Also reported by… [10]

Headline market data shifts the narrative for the quarter.

▲ SUPPORTS THE CASE

ING and DBS back £1.016bn City of London office refurbishment - East London Advertiser

ING and DBS back £1.016bn City of London office refurbishment East London Advertiser Also reported by FF News. [13]

New supply competes with existing buildings for the same tenants.

▲ SUPPORTS THE CASE

City office secures £47.2m refurbishment finance - PropertyWire

City office secures £47.2m refurbishment finance PropertyWire [14]

New supply competes with existing buildings for the same tenants.

Sources and provenance

[1] London Offices Spotlight Q2 2026 (Uploaded by PoC seed · 2026-10-10) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q2-2026.pdf
[2] Bank of England Bank Rate - https://www.bankofengland.co.uk/boeapps/database/Bank-Rate.asp
[3] The London Office Market Report Q1 2024 (Uploaded by PoC seed · 2026-10-10) - https://content.knightfrank.com/research/104/documents/en/the-london-office-market-report-q1-2024-11170.pdf
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[11] CBRE (2026-09-24) - https://news.google.com/rss/articles/CBMimgFBVV95cUxOYTBBeWdSVXpaRmEwYjdQZTJRTDNuSkdxTXRvZlhaVy1aQTljU0lJdTRHV3Q1a0VNaVk1ODBiQ0M4VXVPMzRyUVc5blFRWFdmUlRwRWJNUmNCb3ZMekVmMGxTV2FGYkg2NzRzU1JaUm9vNmFkeFlEY3plUElvbWFMbld1S0FNV1A3NURiYlNSWmg3b25sV1gza0xB?oc=5
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[13] East London Advertiser (2026-10-01) - https://news.google.com/rss/articles/CBMiqAFBVV95cUxQUTJpMEdTMFBfVnEyeEhnNU5yZm1FdUhFVWg4MHpfSFhTVmNlUEZsemNTM190elkzc3V6VHk1VnM0THh5ZEFfa3AxUEJrQXVCakpBbXhLTlNTTXNRbXZ6eWYzeFBDbFRpcFBxSmJvWHRnV0VadkY5Y2d0WEV2YmpXX0pQbk1OT2NXbml6emR6b25UMTJuNHctV0hGWEdXVUFmSzc3dmhaWF8?oc=5
[14] PropertyWire (2026-10-02) - https://news.google.com/rss/articles/CBMijgFBVV95cUxOTTV4dXpJVXc1NnUyeUlvR3Nkb3NTX1pMN2dESWR2N0h6RU1uNmZ6a19kbDNkWmh1X0hfaVFfZmJ1ajJFa1hMeDVObmktakdIQjF0aWMxQmd3eks3Zll1a09iN216NUo2MFlQLWEyUHJ6UkxudmxKc1lmRmJacFZoZzd1TTVoOHh4X3VQTnpn?oc=5

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